wallet using an app, and use them in transactions. Transactions can be both person-to-person and person-to-merchant, by scanning a QR code.

What are the advantages of the digital rupee?

Compared to physical currency, CBDC is expected to bring substantial efficiencies in the costs related to printing, storage and distribution. Further, CBDC will allow seamless withdrawal and deposit of currency from/ to bank accounts.

Using CBDC as a funding asset removes the settlement risk and obviates the need for any central counterparty. Settlement in central bank money would thus reduce transaction costs. The digital rupee offers features of physical cash like trust, safety and settlement finality.

THE DIGITAL RUPEE RETAIL PILOT PROJECT IS NOW OPERATIONALISED BY 13 BANKS ACROSS 26 LOCATIONS

CBDCs can help 'programme' or target the end use of money. For example, agriculture credit by banks can be programmed to ensure that it is used only at input store outlets.

But these are largely benefits in the 'wholesale' segment. In retail, there is still not much evidence to show that the digital rupee offers more ease than online transfers made through the Unified Payments Interface (UPI) platform using a host of payment service providers such as GPay or Paytm.

How is it different from cryptocurrencies?

Unlike cryptocurrencies, which do not have an underlying guarantee, the value of a CBDC is fixed by a country's central bank and is equivalent to the currency of that country.

What is the present status of the digital rupee?

As the next step, the RBI is planning to introduce the wholesale version of the digital rupee in the interbank borrowing or the call money market by October. The interbank call money market is a short-term money market that allows for large financial institutions to borrow and lend money at interbank rates (the rate of interest that banks charge when they borrow funds from each other).

In the retail segment, the RBI is slowly and steadily expanding the digital rupee pilots to more banks, cities, people and use cases.

How are digital rupee transactions different from UPI ones?

The UPI is a simple and fast way of transacting with another person or a merchant, where money is directly debited from one's account linked to the UPI. This is a reason for its huge success as a payment method. In FY23, the UPI platform processed a total of 83.8 billion transactions aggregating to Rs 139 lakh crore.

At present, transactions are carried out in the e-rupee just as they are done through UPI, by scanning a QR code using a smartphone, but RBI says the CBDC will also have an offline feature ideal in remote locations when electrical power or mobile network is not available.

RBI is exploring the use of an offline feature for the digital rupee. As part of HaRBInger 2023 (RBI's Hackathon), it is seeking solutions from across the globe for the offline feature. Multiple technologies will be tested before arriving at the final architecture that can address the concerns of those living in areas with limited or no internet connectivity. Solutions that are workable for feature phones will also be explored.

How many countries use digital currencies?

As of June this year, 11 countries have already launched CBDCs, while pilot testing in China reached 260 million people. Brazil has plans to launch a digital currency next year. ■



By Moazum Mohammad

The installation of smart electricity meters in Jammu & Kashmir has become an uphill task for the Lieutenant Governor Manoj Sinha-led administration with public resentment growing against the move, especially in Hindu-dominated Jammu region. A day-long shutdown on August 26 to press for the withdrawal of smart meters was followed by a blockade on September 1—this time for the removal of a toll plaza on the Jammu-Pathankot highway. The protests, led by the region's apex trade body Jammu Chamber of Commerce and Industry (JCCI), along with civil society groups, lawyers and political parties, disrupted life in Bharatiya Janata Party (BJP) strongholds of the Jammu, Samba, Kathua, Udhampur and Reasi districts.

These street protests, say observers, have the potential to upset the saffron applecart in J&K, if and when it goes to the polls again. In the last elections held to the then 87-seat state assembly in 2014, the BJP bagged a record 25 seats—all